

Company registration number 12113969 (England and Wales)

ARK ESTATES 2 LIMITED

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

ARK ESTATES 2 LIMITED

COMPANY INFORMATION

Directors	H T Owen A J Pettit D McDonald A D Garvin I S Perryment R P Silvester
Secretary	Dr P T Singh
Company number	12113969
Registered office	Spring Park Westwells Road Hawthorn Corsham Wiltshire SN13 9GB
Independent auditors	PricewaterhouseCoopers CI LLP 37 Esplanade St Helier Jersey JE1 4XA

ARK ESTATES 2 LIMITED

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ARK ESTATES 2 LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The directors present their strategic report for the year ended 30 June 2025.

Principal activities

The principal activity of Ark Estates 2 Limited ("the company") and its subsidiaries (together "the group") is the ownership, development and leasing of data centres.

Business review

Ark Estates 2 Limited and its subsidiaries own the Union Park site, which consists of 4 blocks, and had 24 MW (2024: 12 MW) of built capacity as of 30 June 2025. In addition, 48 MW of further capacity is under construction, with a further 24 MW to be built subject to planning permission.

Financial indicators

The Board of Directors are pleased to report the following financial results:

	2025 (£)	2024 (£)	Change (£)	% Change
Property income	34,663,793	17,000,537	17,663,256	+103.90%
Operating profit/(loss)	12,742,535	(8,313,560)	21,056,095	+253.27%
Interest payable	(82,388,360)	(51,524,964)	(30,863,396)	+59.90%
Loss for year	(69,926,411)	(56,278,060)	(13,648,351)	+24.25%
Investment property	839,790,000	612,500,000	227,290,000	+37.11%
Total equity	(165,824,267)	(95,897,856)	(69,926,411)	-72.92%

Non-financial indicators

Alongside the financial performance, the key performance indicators of the Group include:

- build costs
- delivering in accordance with build programmes
- maintaining operational excellence
- stakeholder (customer and supplier) satisfaction scores

In addition, the Ark group ("Ark", defined as Ark Capital Partners I LP Inc and its subsidiaries) will continue to build out new facilities on its existing sites, and through its related undertakings at additional sites in and around London – Union Park, Longeross Park and Alliance Park – to meet the growing demand for colocation and cloud data centres.

The business plan of Ark is built around a long-term strategy and significant progress has been made during the year to 30 June 2025. During the current reporting period Ark has secured new long-term contracts with customers from both public and private sectors across multiple industries including UK Government, Financial Services, Telecommunications, Cloud Providers and IT. The sales pipeline remains strong and further growth is expected through Ark's existing customers, framework agreements and new customers. The Board of Directors believe that the Group's position within the marketplace remains strong, and we look forward to further expansion in 2026.

ARK ESTATES 2 LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Principal risks, uncertainties and dependencies

Principal risks faced by the Group are identified and monitored through a regular process that is reviewed by Ark's Senior Leadership Team and presented to the Board of Directors. Principal risks include, but are not limited to:

- Operational risks from a power or cooling outage or a security breach. The Group places a primary focus on preventative measures and controls to address these risks through its design and construction of the facilities and operation of robust accredited processes and regular maintenance programmes. Additionally, the Group undertakes regular exercises, involving our customers and supply chain, across multiple scenarios to test the application and robustness of its procedures.
- Performance in an increasingly competitive marketplace is continually monitored. The Group engages proactively with its customers to understand their requirements and has continuously progressed innovation in data centre design and construction to meet those needs and drive efficiencies.
- Uncertainty of current economic conditions may impact supply and/or development arrangements, although this is largely mitigated by entering into fixed priced contracts for the construction of the data centres and ensuring critical supplies are available when needed.

The Group manages these risks on an ongoing basis, and the Board of Directors believe that the Group's offering within the marketplace remains strong, and that it is well positioned to continue its growth.

Post balance sheet events

No events have occurred since the balance sheet date which significantly affect the Group.

On behalf of the board

H T Owen
Director

5 December 2025

ARK ESTATES 2 LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The directors present their report and audited company and consolidated financial statements for Ark Estates 2 Limited ("the company") and its subsidiaries (together "the group") for the year ended 30 June 2025.

Results and dividends

The results for the year are set out on page 11.

The results for the year and the financial position at the year end were considered satisfactory by the directors.

No ordinary dividends were paid. The directors do not recommend payment of a dividend for the year (2024: nil).

Directors

The directors who held office during the year and up to the date of approval of the financial statements were as follows:

H T Owen
A J Pettit
D McDonald
A D Garvin
I S Perryment
R P Silvester

Qualifying third party indemnity provisions

As permitted by the Articles of Association, the directors have the benefit of an indemnity which is a qualifying third party indemnity provision, as defined by Section 234 of the Companies Act 2006. The indemnity was in force throughout the last financial year and is currently in force. The company also purchased and maintained throughout the financial year and is currently in place, Directors' and Officers' liability insurance in respect of itself and its directors.

Going concern

The directors have prepared the financial statements on a going concern basis.

At 30 June 2025 the group had net current liabilities of £8,857,570 (2024: £28,901,675) and net liabilities of £165,824,267 (2024: £95,897,856). As disclosed in Note 15, by issuing unsecured loan notes on The International Stock Exchange ("TISE") to a related party when funding is required, the group has access to liquidity and sufficient undrawn group finance facilities to be able to meet all liabilities and commitments as they fall due. At 30 June 2025 the group also had access to undrawn amounts of £184.05m from its bank loan facilities of which £86.55m has been drawn down at the date of approving these financial statements. One of the group's properties is now income-generating and the directors have prepared cash flow forecasts which include relevant downside sensitivities and demonstrate that the company has access to sufficient liquidity to sustain its operations for a period of at least 12 months from the date of approval of the financial statements.

The directors are therefore satisfied that the group has sufficient group finance facilities and support from the ultimate parent at their disposal to meet working capital requirements, finance the capital commitments disclosed in Note 19 and meet other obligations and commitments as they fall due.

Independent auditors

The auditors, PricewaterhouseCoopers CI LLP, have indicated their willingness to continue in office and a resolution concerning their re-appointment will be proposed at the General Meeting.

ARK ESTATES 2 LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Statement of directors' responsibilities

The directors are responsible for preparing the Directors' Report and the group and company financial statements (the "financial statements") in accordance with applicable law and regulations.

Companies Act 2006 ("company law") requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Accounting Standards, comprising FRS102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 102, have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities. The directors confirm that they have complied with these responsibilities.

Strategic report

The Company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the Directors' Report. It has done so in respect of the review of the business and the principal risks and uncertainties it faces.

Statement of disclosure to auditor

In the case of each director in office at the date the Directors' Report is approved:

- so far as the director is aware, there is no relevant audit information of which the group and company's auditors are unaware; and
- they have taken all steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the group and company's auditors are aware of that information.

Medium-sized companies exemption

This report has been prepared in accordance with the provisions applicable to companies entitled to the medium-sized companies exemption.

On behalf of the board

H T Owen
Director

5 December 2025

Independent auditors' report to the members of Ark Estates 2 Limited

Report on the audit of the financial statements

Opinion

In our opinion, Ark Estates 2 Limited's group financial statements and company financial statements (the "financial statements"):

- give a true and fair view of the state of the group's and of the company's affairs as at 30 June 2025 and of the group's loss and the group's cash flows for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Audited Financial Statements (the "Annual Report"), which comprise: the group and company balance sheet as at 30 June 2025; the group statement of comprehensive income; the group statement of cash flows and the group and company statement of changes in equity for the year then ended; and the notes to the financial statements, which include a description of the significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Our audit approach

Overview

Audit scope

- We conducted our audit work in Jersey and the United Kingdom ("UK") and tailored the scope of our audit taking into account the type of asset within the group, the accounting processes and controls, and the industry in which the group operates.
- We conducted our audit of the financial statements based on information provided by management.

Key audit matters

- Valuation of Investment Property as at 30 June 2025 (group and parent)

Materiality

- Overall group materiality: £8.9 million (2024: £6.3 million) based on 1% of Total Assets.
- Overall company materiality: £0.9 million (2024: £0.9 million) based on 1% of Total Assets.
- Performance materiality: £6.6 million (2024: £4.7 million) (group) and £0.7 million (2024: £0.7 million) (company).

The scope of our audit

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements.

Key audit matters

Key audit matters are those matters that, in the auditors' professional judgement, were of most significance in the audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditors, including those which had the greatest effect on: the overall audit strategy; the allocation of resources in the audit; and directing the efforts of the engagement team. These matters, and any comments we make on the results of our procedures thereon, were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

This is not a complete list of all risks identified by our audit.

The key audit matters below are consistent with last year.

Key audit matter	How our audit addressed the key audit matter
<i>Valuation of Investment Property as at 30 June 2023 (group and parent)</i>	
Refer to note 1.6 and 9 to the financial statements. The group owns investment property carried at fair value. The valuation of investment property is material to the financial statements and inherently subjective due to, among other factors, the individual nature of each investment property, its location, stage of development and expected future rental income. The valuation of the group's investment property was carried out by an independent professional valuer ("management's expert") who performed their work in accordance with the latest version of the RICS Valuation – Global Professional Standards (known as the "Red Book"). In determining the valuation of the group's tenanted investment property, management's expert has considered specific current property information, including tenancy agreements and rental income generated by each property. Subsequently, assumptions regarding capitalisation rates, prevailing market rents, and growth prospects, based on market data and recent comparable transactions, are applied to establish a valuation range, from which a point estimate is determined. In determining the valuation of the investment property under development, management's expert takes into account property specific current information such as planning permission, the stage of development and committed costs to complete the development. The directors have scrutinised and then adopted management's expert value for financial reporting purposes	We understood and evaluated the controls and appropriateness of accounting policy in place in respect of investment property valuations and management's engagement with management's expert and the scope of their work; We obtained and read management's expert report on the valuation of the group's investment property as at the year-end; We confirmed that management's expert report was prepared in accordance with professional valuation standards and suitable for use in determining the fair value of investment properties as at 30 June 2023; We assessed management's expert qualifications and expertise and read their terms of engagement with the group to determine whether there were any matters that might have affected their objectivity or may have imposed scope limitations upon their work; We engaged our auditors' expert to support our critique and challenge of the work performed and assumptions used by management's expert. In particular, the valuation assumptions used by management's expert were compared to recent comparable market activity and industry indices and significant movements in the valuation were challenged; and We assessed the appropriateness of disclosures made within the company's financial statements. Based on the audit work detailed above we have nothing to report to those charged with governance. Based on the above procedures, we have not identified any material matters to report to those charged with governance.

How we tailored the audit scope

We tailored the scope of our audit to ensure that we performed enough work to be able to give an opinion on the financial statements as a whole, taking into account the structure of the group and the company, the accounting processes and controls, and the industry in which they operate.

We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined the principal risks were related to posting of inappropriate journal entries to increase revenue, and management bias in accounting estimates and judgemental areas of the financial statements such as valuation of investment property as at 30 June 2025.

The impact of climate risk on our audit

As part of our audit we made enquiries of management to understand the extent of the potential impact of climate risk on the group's and company's financial statements, and we remained alert when performing our audit procedures for any indicators of the impact of climate risk. Our procedures did not identify any material impact as a result of climate risk on the group's and company's financial statements.

Materiality

The scope of our audit was influenced by our application of materiality. We set certain quantitative thresholds for materiality. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Financial statements - group	Financial statements - company
<i>Overall materiality</i>	£8.9 million (2024: £6.3 millions).	£0.9 million (2024: £0.9 million).
<i>How we determined it</i>	1% of Total Assets	1% of Total Assets
<i>Rationale for benchmark applied</i>	We believe total assets to be the appropriate basis for determining materiality since this is a key consideration for members of the company when assessing financial performance. It is also a generally accepted measure used for companies in this industry.	We believe total assets to be the appropriate basis for determining materiality since this is a key consideration for members of the company when assessing financial performance. It is also a generally accepted measure used for companies in this industry.

For each component in the scope of our group audit, we allocated a materiality that is less than our overall group materiality. The range of materiality allocated across components was between £3.75 million and £291k. Certain components were audited to a local statutory audit materiality that was also less than our overall group materiality.

We use performance materiality to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds overall materiality. Specifically, we use performance materiality in determining the scope of our audit and the nature and extent of our testing of account balances, classes of transactions and disclosures, for example in determining sample sizes. Our performance materiality was 75% (2024: 75%) of overall materiality, amounting to £6.6 million (2024: £4.7 million) for the group financial statements and £0.7 million (2024: £0.7 million) for the company financial statements.

In determining the performance materiality, we considered a number of factors - the history of misstatements, risk assessment and aggregation risk and the effectiveness of controls - and concluded that an amount at the upper end of our normal range was appropriate.

We agreed with those charged with governance that we would report to them misstatements identified during our audit above £886k (group audit) (2024: £632k) and £89k (company audit) (2024: £90.3k) as well as misstatements below those amounts that, in our view, warranted reporting for qualitative reasons.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the group's and the company's ability to continue to adopt the going concern basis of accounting included:

- Discussing and critically examining management's assessment of the group and company's ability to continue as a going concern.
- This included evaluating the nature of the group and company's operations, the assumptions made, and the time frame covered by the assessment;
- Inquiring about any events or conditions beyond the assessment period that might significantly undermine the group and company's ability to continue as a going concern;
- Assessing the group and company's ability to meet its commitments; and
- Reviewing the cash flow forecasts prepared by the directors which include relevant downside sensitivities

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the group's and the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and the Directors' report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and the Directors' report for the year ended 30 June 2025 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the group and company and their environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and the Directors' report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the statement of directors' responsibilities, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the group and the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to Companies Act 2006, and we considered the extent to which non-compliance might have a material effect on the financial statements. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to posting inappropriate journal entries to increase revenue and the potential for management bias in accounting estimates and key judgements impacting the financial statements such as the valuation of investment property. Audit procedures performed by the engagement team included:

- enquiring with the management of the group and the directors as to any actual or suspected instances of fraud or non-compliance with laws and regulations;
- checking the minutes of meetings of the board of directors for matters relevant to the audit;
- testing the disclosures made in the financial statements, as well as in the Directors' report, for compliance with the requirements of the Companies Act 2006;
- procedures relating to the valuation of investment property described in the related Key Audit Matter;
- performing audit procedures to incorporate unpredictability around the nature, timing and extent of our testing;
- identifying and testing journal entries considered to be of higher fraud risk; and
- evaluating the business rationale for any significant or unusual transactions identified as being outside the normal course of business.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

Our audit testing might include testing complete populations of certain transactions and balances, possibly using data auditing techniques. However, it typically involves selecting a limited number of items for testing, rather than testing complete populations. We will often seek to target particular items for testing based on their size or risk characteristics. In other cases, we will use audit sampling to enable us to draw a conclusion about the population from which the sample is selected.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report. In our engagement letter, we also agreed to describe our audit approach, including communicating key audit matters.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the company financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Ian Tait (Senior Statutory Auditor)

for and on behalf of PricewaterhouseCoopers CI LLP

Chartered Accountants and Statutory Auditors

Jersey

5 December 2025

ARK ESTATES 2 LIMITED

GROUP STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2025

	Notes	2025 £	2024 £
Property income		34,663,793	17,000,537
Property expenses		(19,910,541)	(22,712,201)
Gross profit/(loss)		14,753,252	(5,711,664)
Administrative expenses		(2,010,717)	(2,601,896)
Operating profit/(loss)		12,742,535	(8,313,560)
Interest receivable and similar income	5	769,304	214,643
Interest payable and similar expenses	6	(82,388,360)	(51,524,964)
Change in fair value of investment property	7	(17,040,330)	10,859,787
Loss before taxation		(85,916,851)	(48,764,094)
Taxation	8	15,990,440	(7,513,966)
Total comprehensive loss for the financial year		(69,926,411)	(56,278,060)

Total comprehensive loss for the year is all attributable to the owners of the parent company.

There were no other comprehensive income or losses during the year. All amounts are derived from continuing operations.

The notes on pages 17 to 30 form part of these financial statements.

ARK ESTATES 2 LIMITED

GROUP BALANCE SHEET

AS AT 30 JUNE 2025

		2025	2024
	Notes	£	£
Fixed assets			
Investment property	9	839,790,000	612,500,000
Current assets			
Stocks	11	1,196,137	659,460
Debtors falling due after more than one year	12	15,901,747	-
Debtors falling due within one year	12	24,531,651	13,135,353
Cash at bank and in hand		5,225,568	5,478,822
		<u>46,855,103</u>	<u>19,273,635</u>
Creditors: amounts falling due within one year	13	<u>(55,712,673)</u>	<u>(48,175,310)</u>
Net current liabilities		<u>(8,857,570)</u>	<u>(28,901,675)</u>
Total assets less current liabilities		830,932,430	583,598,325
Creditors: amounts falling due after more than one year	14	(996,756,697)	(671,982,215)
Provisions for liabilities			
Deferred tax liability	16	-	(7,513,966)
		<u>-</u>	<u>(7,513,966)</u>
Net liabilities		<u>(165,824,267)</u>	<u>(95,897,856)</u>
Capital and reserves			
Called up share capital	17	54,567,268	54,567,268
Profit and loss reserves		(220,391,535)	(150,465,124)
Total equity		<u>(165,824,267)</u>	<u>(95,897,856)</u>

The notes on pages 17 to 30 form part of these financial statements.

These financial statements have been prepared in accordance with the provisions relating to medium-sized groups.

The financial statements on pages 11 to 30 were approved by the board of directors and authorised for issue on 5 December 2025 and are signed on its behalf by:

II T Owen
Director

I S Perryment
Director

Company registration number 12113969 (England and Wales)

ARK ESTATES 2 LIMITED

COMPANY BALANCE SHEET

AS AT 30 JUNE 2025

		2025	2024
	Notes	£	£
Fixed assets			
Investment property	9	2,590,000	2,800,000
Investments	10	21,879,433	21,879,433
		<u>24,469,433</u>	<u>24,679,433</u>
Current assets			
Stocks	11	67,921	67,921
Debtors	12	64,068,757	64,836,534
Cash at bank and in hand		433,538	668,670
		<u>64,570,216</u>	<u>65,573,125</u>
Creditors: amounts falling due within one year	13	<u>(247,849)</u>	<u>(756,121)</u>
Net current assets		<u>64,322,367</u>	<u>64,817,004</u>
Total assets less current liabilities		<u>88,791,800</u>	<u>89,496,437</u>
Creditors: amounts falling due after more than one year	14	<u>(48,496,558)</u>	<u>(43,777,770)</u>
Net assets		<u><u>40,295,242</u></u>	<u><u>45,718,667</u></u>
Capital and reserves			
Called up share capital	17	54,567,268	54,567,268
Profit and loss reserves		<u>(14,272,026)</u>	<u>(8,848,601)</u>
Total equity		<u><u>40,295,242</u></u>	<u><u>45,718,667</u></u>

The notes on pages 17 to 30 form part of these financial statements.

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £5,423,425 (2024 - £7,700,025 loss).

These financial statements have been prepared in accordance with the provisions relating to medium-sized companies.

The financial statements on pages 11 to 30 were approved by the board of directors and authorised for issue on 5 December 2025 and are signed on its behalf by:

H T Owen
Director

I S Perryment
Director

Company registration number 12113969 (England and Wales)

ARK ESTATES 2 LIMITED

GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2025

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2023	100	(94,187,064)	(94,186,964)
Year ended 30 June 2024:			
Total comprehensive loss for the year	-	(56,278,060)	(56,278,060)
Issue of share capital	54,567,168	-	54,567,168
Balance at 30 June 2024	54,567,268	(150,465,124)	(95,897,856)
Year ended 30 June 2025:			
Total comprehensive loss for the year	-	(69,926,411)	(69,926,411)
Balance at 30 June 2025	54,567,268	(220,391,535)	(165,824,267)

The notes on pages 17 to 30 form part of these financial statements.

ARK ESTATES 2 LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2025

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2023	100	(1,148,576)	(1,148,476)
Year ended 30 June 2024:			
Total comprehensive loss for the year	-	(7,700,025)	(7,700,025)
Issue of share capital	54,567,168	-	54,567,168
Balance at 30 June 2024	54,567,268	(8,848,601)	45,718,667
Year ended 30 June 2025:			
Total comprehensive loss for the year	-	(5,423,425)	(5,423,425)
Balance at 30 June 2025	54,567,268	(14,272,026)	40,295,242

The notes on pages 17 to 30 form part of these financial statements.

ARK ESTATES 2 LIMITED

GROUP STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2025

	Notes	2025 £	2024 £
Cash flows from operating activities			
Net cash used in operating activities	23	(7,285,039)	(10,461,190)
Investing activities			
Purchase of investment property		(244,330,330)	(248,540,213)
Interest received		484,418	101,918
Net cash used in investing activities		(243,845,912)	(248,438,295)
Financing activities			
Interest paid		(26,582,528)	(11,787,631)
New bank loans		223,030,000	162,920,000
Repayment of bank loans		(879,775)	-
Amounts owed to related undertakings:			
- New loans		60,310,000	191,700,000
- Repayments		(5,000,000)	(80,000,000)
Net cash generated from financing activities		250,877,697	262,832,369
Net (decrease)/increase in cash and cash equivalents		(253,254)	3,932,884
Cash and cash equivalents at beginning of year		5,478,822	1,545,938
Cash and cash equivalents at end of year		<u>5,225,568</u>	<u>5,478,822</u>

The notes on pages 17 to 30 form part of these financial statements.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

Company information

Ark Estates 2 Limited ("the company") is a private limited company domiciled and incorporated in England and Wales. The registered office is Spring Park, Westwells Road, Hawthorn, Corsham, Wiltshire, SN13 9GB.

The group consists of Ark Estates 2 Limited and all of its subsidiaries disclosed in note 10 (together "the group").

1.1 Accounting convention

These financial statements have been prepared in compliance with United Kingdom Accounting Standards, including Financial Reporting Standard 102, 'The Financial Reporting Standard applicable in the United Kingdom and the Republic of Ireland ("FRS 102")', and the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention, modified to include investment properties and certain financial instruments at fair value. The principal accounting policies adopted have been applied consistently in the current and prior year. These are set out below.

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues: Interest income/expense and net gains/losses for financial instruments not measured at fair value: basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

1.2 Basis of consolidation

The consolidated financial statements incorporate the financial statements of the company and its subsidiary undertakings, which were prepared to 30 June 2025, using the principles of acquisition accounting. All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Uniform accounting policies have been used across the group.

Subsidiaries are consolidated in the group's financial statements from the date that control commences until the date that control ceases.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

1.3 Going concern

The directors have prepared the financial statements on a going concern basis.

At 30 June 2025 the group had net current liabilities of £8,857,570 (2024: £28,901,675) and net liabilities of £165,824,267 (2024: £95,897,856). As disclosed in Note 15, by issuing unsecured loan notes on The International Stock Exchange ("TISE") to a related party when funding is required, the group has access to liquidity and sufficient undrawn group finance facilities to be able to meet all liabilities and commitments as they fall due. At 30 June 2025 the group also had access to undrawn amounts of £184.05m from its bank loan facilities of which £86.55m has been drawn down at the date of approving these financial statements. One of the group's properties is now income-generating and the directors have prepared cash flow forecasts which include relevant downside sensitivities and demonstrate that the company has access to sufficient liquidity to sustain its operations for a period of at least 12 months from the date of approval of the financial statements.

The directors are therefore satisfied that the group has sufficient group finance facilities and support from the ultimate parent at their disposal to meet working capital requirements, finance the capital commitments disclosed in Note 19 and meet other obligations and commitments as they fall due.

1.4 Property income

Property income is the total amount receivable by the group from the rental of its investment property during the period, excluding VAT.

1.5 Property expenses

Property expenses includes those costs directly attributable to the maintenance, security, running and fit out of the group's data centres. Costs are recognised in the period to which they relate, exclusive of VAT.

1.6 Investment property

Investment property, which is property held to earn rentals and/or for capital appreciation, is initially recognised at cost, which includes the purchase cost and any directly attributable expenditure. Subsequently it is measured at fair value at the reporting end date. Changes in fair value are recognised in profit or loss.

1.7 Investment in subsidiaries

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in comprehensive income or expense.

A subsidiary is an entity controlled by the company. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

1.8 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Stocks held for distribution at no or nominal consideration are measured at the lower of cost and replacement cost, adjusted where applicable for any loss of service potential.

Work in progress consists of costs incurred in delivering client fit out work, which are carried in work in progress until the work is completed.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

1.9 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.10 Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's balance sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include trade and other debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised as the impact of discounting or the application of the effective interest method is considered immaterial to the financial statements.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

Basic financial liabilities

Basic financial liabilities, including creditors, listed loan notes and loans from fellow group companies, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method. Listed loan notes represent unsecured, unsubordinated fixed rate funding loan notes issued by the group to fund the principal activities. These are initially recognised at amounts drawn and subsequently measured at amounts drawn plus interest less payments made.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

1.11 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

1.12 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset if, and only if, there is a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. Judgements, estimates and assumptions have been made in relation to the valuation of the company's investment property (see note 9). The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

3 Auditor's remuneration

	2025	2024
	£	£
Fees payable to the group's auditor and associates:		
For audit services		
Audit of the consolidated and company financial statements	20,323	19,550
Audit of the financial statements of the company's subsidiaries	73,292	70,200
	<u>93,615</u>	<u>89,750</u>
For other services		
Other taxation services	<u>160,500</u>	<u>140,250</u>

4 Employees

There were no employees during the year (2024: none).

No directors' remuneration was paid in either the current year or prior year. The directors are remunerated by other group undertakings for which no allocations are made to the company.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

5	Interest receivable and similar income	2025	2024
		£	£
	Interest on bank deposits	475,968	88,077
	Other interest	293,336	126,566
		<u>769,304</u>	<u>214,643</u>
		<u><u>769,304</u></u>	<u><u>214,643</u></u>
6	Interest payable and similar expenses	2025	2024
		£	£
	Interest on bank loans	20,384,195	10,056,375
	Interest on amounts payable to related undertakings (see note 15):		
	- On TISE loan notes	54,231,380	11,949,562
	- On other loans	-	23,600,216
	Loan arrangement fees	2,089,508	714,000
	Fair value loss on interest rate swap (see note 15)	5,683,277	5,204,811
		<u>82,388,360</u>	<u>51,524,964</u>
		<u><u>82,388,360</u></u>	<u><u>51,524,964</u></u>
7	Change in fair value of investment property	2025	2024
		£	£
	Fair value (losses)/gains		
	(Loss)/gain on change in fair value of investment property	(17,040,330)	10,859,787
		<u>(17,040,330)</u>	<u>10,859,787</u>
		<u><u>(17,040,330)</u></u>	<u><u>10,859,787</u></u>
8	Taxation	2025	2024
		£	£
	Deferred tax		
	Origination and reversal of timing differences	(15,990,440)	7,513,966
		<u>(15,990,440)</u>	<u>7,513,966</u>
		<u><u>(15,990,440)</u></u>	<u><u>7,513,966</u></u>

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

8 Taxation

(Continued)

The actual (credit)/charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2025 £	2024 £
Loss before taxation	(85,916,851)	(48,764,094)
Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2024: 25.00%)	(21,479,213)	(12,191,024)
Tax effect of expenses that are not deductible in determining taxable profit	1,593,360	1,478,889
Gains not taxable	4,964,139	(2,714,947)
Unutilised tax losses carried forward	(12,894,651)	4,516,312
Group relief	1,945,749	54,274
Permanent capital allowances in excess of depreciation	143,936	(143,936)
Effect of revaluations of investments	(1,669,986)	7,513,966
Corporate interest restriction	11,406,226	9,000,432
Taxation (credit)/charge	(15,990,440)	7,513,966

9 Investment property

	Group 2025 £	2024 £	Company 2025 £	2024 £
Fair value				
At 1 July	612,500,000	353,100,000	2,800,000	37,478,547
Additions	244,330,330	248,540,213	517,352	2,621,040
Transfers	-	-	-	(37,339,191)
Change in the fair value of investment property	(17,040,330)	10,859,787	(727,352)	39,604
At 30 June	839,790,000	612,500,000	2,590,000	2,800,000

Investment property represents the data centre campus known as Union Park which consists of 4 blocks. The investment property has been revalued as at 30 June 2025 at fair value by the directors with reference to market-based evidence and expected future cash flows derived from the assets. An independent professional valuation of Union Park was carried out by a RICS qualified valuer as at 30 June 2025 and this was taken into consideration in the directors' assessment of the fair value. The valuation methodology used to establish the value of the investment property includes a number of key assumptions. These include, but are not limited to; occupancy rates, contracted and uncontracted income forecasts, operational costs, capital replacement costs, planning permission, the stage of development, committed costs to complete the development, discount rates and exit yields.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

9 Investment property (Continued)

If the investment properties were stated on an historical cost basis rather than a fair value basis, the amounts would have been included as follows:

	Group 2025 £	2024 £	Company 2025 £	2024 £
Cost	897,985,636	653,655,306	3,277,748	2,760,396

10 Investments

	Company 2025 £	2024 £
Investments in subsidiaries	21,879,433	21,879,433

Movements in investments in subsidiaries

Company	Shares in subsidiaries £
Cost or valuation	
At 1 July 2024 and 30 June 2025	21,879,433
Carrying amount	
At 30 June 2025	21,879,433
At 30 June 2024	21,879,433

As at 30 June 2025 the company owned 100% of the issued share capital of UP1 Holdings Limited, UP2 Holdings Limited, UP3 Holdings Limited and UP4 Holdings Limited, all of which were incorporated in England and Wales and have the principal activity of holding companies. UP1 Holdings Limited owns 100% of the issued share capital of Ark UP1 Limited, UP2 Holdings Limited owns 100% of the issued share capital of Ark UP2 Limited, UP3 Holdings Limited owns 100% of the issued share capital of Ark UP3 Limited and UP4 Holdings Limited owns 100% of the issued share capital of Ark UP4 Limited. The principal activity of Ark UP1 Limited, Ark UP2 Limited, Ark UP3 Limited and Ark UP4 Limited is that of the ownership, development and leasing of data centres.

11 Stocks

	Group 2025 £	2024 £	Company 2025 £	2024 £
Work in progress	1,128,216	591,539	-	-
Critical spares	67,921	67,921	67,921	67,921
	1,196,137	659,460	67,921	67,921

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

12 Debtors

	Group 2025	2024	Company 2025	2024
	£	£	£	£
Amounts falling due within one year:				
Trade debtors	11,978,673	3,694,220	43,114	-
Amounts owed by group undertakings	100	100	63,812,075	64,471,739
Derivative financial instruments	5,866,853	-	-	-
Other debtors	6,538,760	8,823,454	213,568	-
Prepayments and accrued income	147,265	617,579	-	364,795
	<u>24,531,651</u>	<u>13,135,353</u>	<u>64,068,757</u>	<u>64,836,534</u>
Amounts falling due after more than one year:				
Other debtors	7,425,273	-	-	-
Deferred tax asset (note 16)	8,476,474	-	-	-
	<u>15,901,747</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total debtors	<u>40,433,398</u>	<u>13,135,353</u>	<u>64,068,757</u>	<u>64,836,534</u>

Amounts owed by group undertakings are unsecured, have no fixed date of repayment and are repayable on demand.

13 Creditors: amounts falling due within one year

		Group 2025	2024	Company 2025	2024
	Notes	£	£	£	£
Bank loans	15	1,295,051	688,420	-	-
Trade creditors		24,464,633	26,490,786	20,200	500,935
Other taxation and social security		456,759	166,438	-	27,125
Derivative financial instruments	15	6,520,667	5,204,811	-	-
Other creditors - construction retentions		18,145,825	12,813,121	19,459	19,058
Accruals and deferred income		4,829,738	2,811,734	208,190	209,003
		<u>55,712,673</u>	<u>48,175,310</u>	<u>247,849</u>	<u>756,121</u>

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

14 Creditors: amounts falling due after more than one year

	Notes	Group 2025 £	2024 £	Company 2025 £	2024 £
Bank loans	15	383,775,174	162,231,580	-	-
Unamortised loan arrangement fees	15	(9,166,492)	(2,856,000)	-	-
Amounts owed to related undertakings:	15				
- TISE loan notes		622,139,882	511,712,891	48,496,558	43,736,443
- Interest accrued on TISE loan notes		8,133	893,744	-	41,327
		<u>996,756,697</u>	<u>671,982,215</u>	<u>48,496,558</u>	<u>43,777,770</u>

15 Loans

		Group 2025 £	2024 £	Company 2025 £	2024 £
Bank loans		385,070,225	162,920,000	-	-
Unamortised loan arrangement fees		(9,166,492)	(2,856,000)	-	-
Amounts owed to related undertakings:					
- TISE loan notes		622,139,882	511,712,891	48,496,558	43,736,443
- Interest accrued on TISE loan notes		8,133	893,744	-	41,327
		<u>998,051,748</u>	<u>672,670,635</u>	<u>48,496,558</u>	<u>43,777,770</u>
Payable within one year		1,295,051	688,420	-	-
Payable after one year		<u>996,756,697</u>	<u>671,982,215</u>	<u>48,496,558</u>	<u>43,777,770</u>

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

15 Loans

(Continued)

Bank loans

As at 30 June 2025 the Group had 3 bank loan facilities.

As at 30 June 2025 the Group had drawn down £170m (2024: £162.92m) of its £170m bank loan facility. The bank loan is repayable in quarterly instalments starting 5 November 2024, with full repayment on 21 July 2028. Interest is payable on a quarterly basis at a rate of SONIA plus 2.75% until 29 August 2024 and at a rate of SONIA plus 2.25% thereafter. The assets of the Group are pledged as security against the loan.

As at 30 June 2025 the Group had drawn down £85,700,000 (2024: £Nil) of a £200m bank loan facility. The bank loan is repayable in quarterly instalments starting 5 August 2027, with full repayment on 20 August 2029. Interest is payable on a quarterly basis at a rate of SONIA plus 2.75% until 30 September 2027 and at a rate of SONIA plus 2.25% thereafter. The Group uses interest rate caps to manage interest rate risk associated with the bank loan. At 30 June 2025 the interest rate was capped at 3.85%. The assets of the Group are pledged as security against the loan.

As at 30 June 2025 the Group had drawn down £130,250,000 (2024: £Nil) of another £200m bank loan facility. The bank loan is repayable in quarterly instalments starting 5 May 2027, with full repayment on 22 October 2029. Interest is payable on a quarterly basis at a rate of SONIA plus 2.75% until 2 February 2027 and at a rate of SONIA plus 2.25% thereafter. The Group uses interest rate caps to manage interest rate risk associated with the bank loan. At 30 June 2025 the interest rate was capped at 3.85%. The assets of the Group are pledged as security against the loan.

The loan covenants associated with the £170m bank loan facility are calculated based on the financial results of Ark UP1 Limited. Full compliance with all covenants was achieved both during the financial year ended 30 June 2025 as well as throughout the post balance sheet period to the date of approval and issuance of these financial statements. Financial forecasts indicate that all covenants will be complied with throughout the period to 21 July 2028, being the term and maturity date of the loan facility.

The loan covenants associated with one of the £200m bank loan facilities are calculated based on the financial results of Ark UP2 Limited. Full compliance with all covenants was achieved both during the financial year ended 30 June 2025 as well as throughout the post balance sheet period to the date of approval and issuance of these financial statements. Financial forecasts indicate that all covenants will be complied with throughout the period to 20 August 2029, being the term and maturity date of the loan facility.

The loan covenants associated with the other £200m bank loan facility are calculated based on the financial results of Ark UP3 Limited. Full compliance with all covenants was achieved both during the financial year ended 30 June 2025 as well as throughout the post balance sheet period to the date of approval and issuance of these financial statements. Financial forecasts indicate that all covenants will be complied with throughout the period to 22 October 2029, being the term and maturity date of the loan facility.

The Group uses financial derivatives to manage interest rate risk associated with the £170m bank loan facility. At 30 June 2025 fixed floating swaps were in place which effectively capped interest at 4.839% on £28,186,704, 5.038% on £28,186,704, 4.8264% on £56,373,408 and 5.02% on £56,373,408 of the balance..

Amounts owed to related undertakings

Amounts owed to related undertakings are owed to subsidiaries of Ark Capital Partners I LP Inc., the ultimate parent of Ark Estates 2 Limited. On 19 March 2024 the amount owed to related undertakings was converted into unsecured loan notes due 31 December 2038 listed on TISE. Interest is payable on the loan notes at fixed rates of between 8.4% and 11.4% per annum and is converted into unsecured loan notes on a quarterly basis. During the year £4,210,115 (2024: £1,029,196) of interest was capitalised by the company and £55,116,991 (2024: £11,055,818) of interest was capitalised by the group.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 30 JUNE 2025

16 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the group and company, and movements thereon:

	Liabilities 2025 £	Liabilities 2024 £	Assets 2025 £	Assets 2024 £
Group				
Accelerated capital allowances	-	-	(523,144)	-
Tax losses	-	-	15,547,655	-
Revaluations of investment property	-	7,513,966	(6,548,037)	-
	<u>-</u>	<u>7,513,966</u>	<u>8,476,474</u>	<u>-</u>
	<u>-</u>	<u>7,513,966</u>	<u>8,476,474</u>	<u>-</u>

The company has no deferred tax assets or liabilities.

	Group 2025 £	Company 2025 £
Movements in the year:		
Liability at 1 July 2024	(7,513,966)	-
Credit to profit or loss	15,990,440	-
Asset at 30 June 2025	<u>8,476,474</u>	<u>-</u>

17 Share capital

Group and company	2025 Number	2024 Number	2025 £	2024 £
Ordinary share capital				
Issued and fully paid				
Ordinary shares of £1 each	<u>54,567,268</u>	<u>54,567,268</u>	<u>54,567,268</u>	<u>54,567,268</u>

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 30 JUNE 2025

18 Operating lease commitments

Lessor

At the reporting end date the group had contracted with tenants for the following minimum lease payments:

	Group 2025 £	2024 £	Company 2025 £	2024 £
Within one year	22,360,674	19,687,107	-	-
Between two and five years	254,477,684	164,552,935	-	-
In over five years	1,011,483,298	968,068,105	-	-
	<u>1,288,321,656</u>	<u>1,152,308,147</u>	<u>-</u>	<u>-</u>

19 Capital commitments

Amounts contracted for but not provided in the financial statements:

	Group 2025 £	2024 £	Company 2025 £	2024 £
Investment property development expenditure	163,109,857	395,836,370	1,184,465	1,476,356
	<u>163,109,857</u>	<u>395,836,370</u>	<u>1,184,465</u>	<u>1,476,356</u>

20 Events after the reporting date

There have been no post balance sheet events requiring disclosure in the notes to the financial statements.

21 Related party transactions

There are no related party transactions requiring disclosure other than those disclosed in notes 6, 12, 14 and 15 to the financial statements.

22 Controlling party

The immediate parent undertaking is Ark Midco Limited, a company registered in the Isle of Man, and the ultimate parent undertaking is Ark Capital Partners I LP Inc., a limited partnership registered in the Isle of Man. The limited partnership is controlled by its partners.

Ark Midco Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements at 30 June 2025. The consolidated financial statements of Ark Midco Limited are available from its registered office at First Names House, Victoria Road, Douglas, Isle of Man, IM2 4DF.

Ark Capital Partners I LP Inc. is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2025. The consolidated financial statements of Ark Capital Partners I LP Inc. are available from its general partner Goshawk GP Limited, First Names House, Victoria Road, Douglas, Isle of Man, IM2 4DF.

ARK ESTATES 2 LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

23 Net cash used in group operating activities

	2025 £	2024 £
Loss after taxation	(69,926,411)	(56,278,060)
Adjustments for:		
Taxation (credited)/charged	(15,990,440)	7,513,966
Finance costs	82,388,360	51,524,964
Investment income	(769,304)	(214,643)
Fair value loss/(gain) on investment properties	17,040,330	(10,859,787)
Movements in working capital:		
(Increase)/decrease in stocks	(536,677)	49,558
Increase in debtors	(22,904,106)	(6,783,303)
Increase in creditors	3,413,209	4,586,115
Net cash used in operating activities	(7,285,039)	(10,461,190)

24 Analysis of changes in net debt - group

	1 July 2024 £	Cash flows £	Other movements £	30 June 2025 £
Cash at bank and in hand	5,478,822	(253,254)	-	5,225,568
Borrowings excluding overdrafts	(672,670,635)	(250,877,697)	(74,503,416)	(998,051,748)
	<u>(667,191,813)</u>	<u>(251,130,951)</u>	<u>(74,503,416)</u>	<u>(992,826,180)</u>

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.